the ruling. But we cannot help recording that in our opinion this Committee were not only entitled, but owed it as their duty to discuss the constitution of the Central Bank which, in the Finance Member's words, is "essentially the crown of the whole banking system in its widest sense."'[10] He went on to add that this omission by the Committee after it had reviewed banking needs in all other spheres could only be regarded by the public as a conspicuous gap in the picture of banking which India needed for the future. Purshotamdas argued that if political considerations were involved then such considerations were 'no more inseparable from this problem than they were for many other problems dealt with in the rest of the report.'[11] He said that any responsibility for this avoidable void rested with the Committee's Chairman who would have to justify his action.

However, the Committee did examine the question of the RBI.[12] While the constitution and composition of the proposed bank was not discussed, the Committee proceeded on the assumption that the RBI would be established by an Act of the Indian Legislature, the capital would be provided by the State, and the bank would be under Indian control but free from interference from the executive or legislature in its day to day administration. The Committee observed that the first step to remove many of the defects of the existing system was to establish the RBI. The foreign banking experts went so far as to say that it was one of their principal duties to recommend the establishment of the RBI as soon as possible and that the institution should be free from political influence.

They were of the opinion that the immediate problem in connection with Indian banking was not a question of expansion but of organization, consolidation, and coordination. The solution lay in the establishment of a strong, well-equipped, and influential Reserve Bank. The Committee attached great importance to a Reserve Bank for the development of banking facilities as well as for economic development in general. Such a bank would tend to increase the volume of credit available for trade, industry, and agriculture and also mitigate the evils of fluctuating and high charges for the use of such credit caused by seasonal stringency.

